

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 26-05

WORLDLOG, LLC dba WCM WORLDWIDE,

COMPLAINANT,

v.

UNITED CARGO MANAGEMENT, INC.

RESPONDENTS.

RESPONDENT'S REPLY BRIEF IN SUPPORT OF ITS
MOTION TO DISMISS OR IN THE ALTERNATIVE STAY
PROCEEDINGS

I. INTRODUCTION

Worldlog, LLC's ("Worldlog") Opposition Brief (Document No. 15; "Opposition" or "Opp.") fails to confront the core arguments in Respondent United Cargo Management, Inc.'s ("UCM") Motion. Worldlog's Complaint should be dismissed because it fails to allege facts sufficient to support its standing to bring its claims before the Federal Maritime Commission (the "Commission") and fails to allege facts sufficient to establish a claim under 46 U.S.C. §§ 41102(d), 41103, 41104(a)(4)(E), and 46 C.F.R. §§ 515.31(e) and 515.20(e).

Most significantly, Worldlog concedes that it is not a direct purchaser with respect to UCM because it does not (and cannot) allege that it paid any shipping charges to UCM, or that it received any invoices for payment from UCM. As such, Worldlog has no standing to assert any claims against UCM under the Shipping Act. Similarly, Worldlog admits that UCM (not Worldlog) was the licensed ocean transportation intermediary ("OTI") in connection with the service contracts at issue in the Complaint and that Worldlog was working on behalf of UCM. This is fatal to Worldlog's claims. Many of the arguments in Worldlog's opposition are hard to follow, but what is clear from the opposition is that Worldlog has no answer for the key issues that require dismissal of the Complaint for failure to state a claim under the Shipping Act.

Alternatively, in light of the active litigation in South Carolina federal and state courts, which were filed first and involve identical underlying factual issues as this proceeding, the Commission should stay this proceeding pending resolution of the same issues raised in the South Carolina courts.

II. WORLDLOG'S COMPLAINT FAILS UNDER THE DIRECT PURCHASER RULE.

Worldlog concedes that it has not been billed by UCM nor has it paid any charges to UCM. Worldlog cites the "Complaint at 7, 8 and 9", but neither those paragraph numbers nor pages support the contention that Worldlog was a direct purchaser. Instead, Worldlog's claims are based

entirely on its purported payments to third party “ocean carriers and other vendors.” Complaint, ¶ 36; Opp., p. 9. As explained in UCM’s motion, the direct purchaser rule requires that the complainant have been billed by, or paid charges to, the specific carrier that the complainant is suing for damages. This fact alone requires dismissal of Worldlog’s claims. *See In Re Vehicle Carrier Services*, FMC Dockets 16-01, 16-07, 16-10, and 16-11, 2019 WL 5558120, at *6-*7 (FMC Oct. 21, 2019) (complainant cannot rely on a pass-on theory of overcharges; only the end-payor can sue for reparations).

Worldlog stubbornly misinterprets this Commission’s decision in *In Re Vehicle Carrier Services* in its Opposition. In *In Re Vehicle Carrier Services*, the complainants, who included OTIs, automobile dealers, a truck wholesaler, and vehicle purchasers or lessees, alleged that the respondent vehicle carriers manipulated shipping markets by conspiring to raise shipping rates and manipulate prices following the 2008 economic downturn by reducing fleet capacity, cancelling orders for new shipping vessels, and other tactics to artificially reduce shipping supply and increase demand. *Id.*, at *1-*2. The Commission held that, under the direct purchaser rule, only parties who actually paid money to or were billed by the respondent carriers had standing to assert claims. The other categories of complainants were indirect purchasers and lacked standing because they only alleged that they paid higher costs to other parties further down the supply chain as a result of the carriers’ actions. *Id.*, at *7; *see also id.* at *5 (“parties farther along in the chain of transactions are not in ‘privity with the carrier’ and therefore have no cause of action against the carrier for alleged overcharges”), quoting *Southern Pacific Co. v. Darnell Taenzer Lumber Co.*, 245 U.S. 531, 534 (1918).

Here, Worldlog admits that the payments it made to the ocean carriers were for ocean freight on behalf of Worldlog’s alleged customers. Complaint, ¶ 36; *see also id.*, ¶¶ 22, 37, 40, 44

(describing Worldlog's claims as based on alleged damages incurred by purported Worldlog customers). Accordingly, under the Shipping Act's "direct purchaser" rule, Worldlog lacks standing to assert its claims against UCM. Worldlog's Complaint should be dismissed in its entirety on that basis.

Not only has Worldlog not alleged it paid anything to UCM and thus is not a direct purchaser, but it has not even alleged it is a party to the transactions it purports to complain about. Worldlog does not identify a single customer or shipping transaction that was a Worldlog transaction or Worldlog contract. This is because, as Worldlog admits, all of the transactions were entered into by UCM as the NVOCC licensee. Complaint, ¶ 9. Worldlog has nothing to do with them. UCM attached to its motion an example of such a customer agreement that clearly shows UCM as the NVOCC licensee, for the only customer even referenced in the Complaint. Worldlog conversely does not attach any of its purported customer agreements to its Opposition brief to support its claims or even identify the purported Worldlog customers. Thus, not only does Worldlog lack standing because it paid nothing to UCM, but it lacks standing because it was not a party to the transactions that are purportedly at issue.

III. WORLDLOG FAILS TO STATE A CLAIM FOR WRONGFUL DISCLOSURE OF INFORMATION UNDER 46 U.S.C. § 41103.

The Complaint fails to state a claim under Section 41103 because Worldlog does not allege any facts to establish that Worldlog was a "shipper or consignee" of any of the property or cargo "tendered or delivered to a common carrier." 46 U.S.C. § 41103(a).

Worldlog argues that "UCM unlawfully disclosed information concerning WCM's service contract information" (Opp., p. 11, citing Complaint, ¶¶ 24-25) and that a "former employee" used or attempted to use Worldlog information to negotiate carrier contracts on behalf of UCM. Opp., p. 12. However, this allegation only serves to highlight and support the binding admission made earlier

in the Complaint that all customer agreements during the relevant period were entered into on behalf of UCM, “the FMC licensed OTI” for “all ocean carrier service contracts” at issue in the Complaint. Complaint, ¶ 9.¹ The Complaint does not contain any factual allegations that Worldlog entered into service contracts under its own OTI license as opposed to UCM’s, let alone what specific terms were supposedly disclosed by UCM.

Worldlog argues that a “Shipper” can include an “NVOCC that accepts responsibility for payment of all applicable charges under the service contract” under 46 C.F.R. § 530.3(r); however, Worldlog does not allege that it in fact accepted responsibility for payment of applicable charges under a service contract entered into on its own behalf with a carrier. The information Worldlog alleges was received or disclosed are rates and minimum quantity units (albeit under contracts negotiated on behalf of UCM); not “information concerning the nature, kind, quantity, destination, consignee, or routing of any property tendered or delivered to a common carrier”. 46 U.S.C. § 41103(a). Worldlog further does not allege how the use of known rates or minimum quantity units by a former employee is illegal or is a violation of 46 U.S.C. § 41103(a), particularly when that information was learned while the alleged former employee was still allegedly employed by Worldlog. Complaint at ¶ 26.

Again, Worldlog admits that the service contracts were UCM contracts. Complaint, ¶ 9. Worldlog’s disclosure claim boils down to nothing more than a claim that UCM disclosed provisions in UCM’s own contracts. Accordingly, Worldlog’s claim for wrongful disclosure of information under 46 U.S.C. § 41103(a) should be dismissed.

¹ See also *In re Barker*, 839 F.3d 1189, 1195 (9th Cir. 2016) (“Judicial admissions are formal admissions in the pleadings which have the effect of withdrawing a fact from issue and dispensing wholly with the need for proof of the fact . . . [and are] conclusively binding on the party who made them.”); *Rojas v. Roman Catholic Diocese of Rochester*, 660 F.3d 98, 105-106 (2nd Cir. 2011) (“A party’s assertion of fact in a pleading is a judicial admission by which it normally is bound throughout the course of the proceeding.”)

IV. WORLDLOG FAILS TO STATE A CLAIM FOR RETALIATION UNDER 46 U.S.C. § 41102(d).

Worldlog's Complaint fails to allege any retaliatory conduct directed at Worldlog and its Opposition concedes the point multiple times over, describing alleged actions by UCM directed at purported third-party "shipper-customers", not Worldlog. Opp., p. 13. Again, these were UCM customers, but regardless, the allegations in Worldlog's Complaint would only give rise to purported retaliations claims brought by those customers, not Worldlog.

Leaving aside the factual dispute between the parties regarding the nature of the customer relationships, to the extent that Worldlog alleges it was impacted at all, directly or indirectly, it repeatedly refers only to its alleged customer relationships. Notably, Worldlog identifies no allegations of refusal, or threats of refusal, of cargo space or any other allegation of unfair or unjustly discriminatory action. Further, Worldlog does not allege how its customer relationships were impacted, or even identify any loss of customers as a result. See Complaint, ¶ 37. At its core, Worldlog's allegation of retaliation is a complaint that UCM has (justifiably) informed its own clients about Worldlog's theft and interference with UCM's business, which is not retaliatory conduct under the Shipping Act.

Accordingly, Worldlog fails to state a claim under 46 U.S.C. § 41102(d) and its claim for retaliation should be dismissed.

V. WORLDLOG FAILS TO STATE A CLAIM FOR UNFAIR OR UNJUSTLY DISCRIMINATORY PRACTICE IN ADJUSTMENT OR SETTLEMENT OF CLAIMS UNDER 46 U.S.C. § 41104(a)(4)(E).

A claim under 46 U.S.C. § 41104(a)(4)(E) prohibits a common carrier from engaging in any unfair or unjustly discriminatory *practice* in the matter of adjustment and settlement of claims. Worldlog does not allege an unfair or unjustly discriminatory practice. Rather, Worldlog alleges, not on its own behalf, but rather on behalf of an unnamed alleged customer, that the

customer was unfairly treated in connection with an invoice dispute. A single instance, even if true, does not constitute a “practice” for purposes of alleging a violation of the Shipping Act. 46 C.F.R. § 545.4(b).

Worldlog’s Opposition merely re-states the Motion and claims that Respondent “mis-reads” the Complaint; it utterly fails to shed any light on its cryptic and insufficient allegation.

The Opposition goes on to argue that its claim is not barred by the *Noerr-Pennington* doctrine, referring to *Samsung Electronics America, Inc., v. Orient Overseas Container Line Limited and OOCL (Europe) Limited.*, FMC Docket 24-17, at 16-17. In the Samsung Order, the Presiding Officer held that a complaint alleging that a carrier had engaged in unreasonable dispute-resolution practices as part of a larger pattern of conduct in violation of the Shipping Act was not a violation of the *Noerr-Pennington* doctrine. In this matter, Worldlog gets it exactly backwards. Its Complaint expressly alleges that “Respondent UCM has further engaged in unfair and unjustly discriminatory practices ..., specifically by purposefully filing lawsuits and federal claims ...” Complaint at ¶ 41. Remarkably, Worldlog ignores ¶ 41 of its Complaint to argue in its Opposition that “Respondents were and are free to seek redress for any breach of contract claim it may have against Complainant in any court ...” Opp., p. 15. On that point, at least, Respondent agrees. The Complaint’s allegations to the contrary are an unmistakable violation of the *Noerr-Pennington* doctrine.

Worldlog asserts its belief that it has sufficiently alleged facts to support its claim through its alleged letters to UCM outlining allegedly unlawful practices, yet Worldlog admits that each of its referenced letters concerned alleged claims on behalf of third-party customers—not Worldlog. Complaint, ¶¶ 29, 43, 47. Further, Worldlog did not allege any such facts in the Complaint, relying only on conclusory allegations.

Accordingly, Worldlog fails to state a claim under 46 U.S.C. § 41104(a)(4)(E) and its claim for unfair or unjustly discriminatory practices in the adjustment or settlement of claims should be dismissed.

VI. WORLDLOG CANNOT BRING CLAIMS FOR VIOLATION OF 46 C.F.R. § 515.31 OR 46 C.F.R. § 515.20(e).

The Complaint fails to state a claim under 46 C.F.R. §§ 515.31(e) or 515.20(e)² because, as Worldlog admits, even if Worldlog's allegations were true they would not constitute violations of the Shipping Act. A complaint submitted for formal adjudication by the Commission requires allegation of a Shipping Act violation. 46 C.F.R. § 502.62(a)(3)(v). Neither the Shipping Act nor the Commission's Rules of Practice provide for a complaint to the Commission requesting that the Presiding Officer "take notice of" sections 515.31(e) or 515.20(e) and "issue an order permitted under FMC regulations to refer claims to the FMC's Bureau of Enforcement". Opp., pp. 16, 19.³ Worldlog's requests are improper and should be denied and its claim should be dismissed. Worldlog's subsequent allegations of additional alleged misdeeds in its Opposition, while denied, are not relevant to Worldlog's failure to state a claim in Count IV, and merely serve to further illustrate Worldlog's misapprehension of its own failure to allege a violation of the Shipping Act.

VII. IN THE ALTERNATIVE, THE PROCEEDING SHOULD BE STAYED.

If Worldlog's Complaint is not dismissed in its entirety, this proceeding should be stayed

² 46 C.F.R. § 515.31(e) is a regulation prohibiting OTIs from preparing, filing, or knowingly imparting false or fraudulent documents or information relating to any OTI transaction. 46 C.F.R. § 515.20(e) is a regulation requiring "changes in material fact of a licensee" to be reported to the Commission within thirty days of such changes.

³ Nor do the Complaint allegations Worldlog cites in support of this request (Opp., p. 17-18) provide any basis for a fraud claim against UCM. As stated in the Motion, none of the cited allegations allege specific facts of false or fraudulent statements made by UCM to Worldlog in connection with any particular OTI transaction. As for Worldlog's allegations regarding alleged acts by UCM toward third-party customers, Worldlog lacks standing to assert claims on behalf of third parties under the direct purchaser rule as discussed above. Of course, there is nothing fraudulent or wrongful about UCM invoicing its own customers.

pending the resolution of UCM's and Worldlog's cross-actions currently pending in the U.S. District Court for South Carolina, as well as Worldlog's action against UCM employee Robert Gierszal in South Carolina state court (collectively, the "Pending Actions"), each of which involve the same operative set of facts and allegations as Worldlog's Complaint in this proceeding and were filed before this Complaint.

Respondent acknowledges that the Commission has exclusive jurisdiction over the litigation of Shipping Act claims. However, the factual matters being litigated in South Carolina include the commercial relationship between the parties and relevant customers, which is a fundamental factual predicate for establishing the ability of either party to bring a Shipping Act complaint against the other. See Motion, pp. 21-22. Allowing this matter to proceed would be akin to moving ahead with a murder trial when there is a factual dispute already in another forum as to whether the alleged victim is alive or dead. Determination of the factual predicate would be essential prior to proceeding to litigation of any surviving alleged Shipping Act violations. Allowing this proceeding to continue concurrently with the Pending Actions would in turn require duplicative proceedings, and pose a risk of inconsistent findings on operative facts, and raises the likelihood, if not the certainty, of wasting the Commission's time and efforts. Should Worldlog fail to prove its case in the Pending Actions, its claims in this proceeding will necessarily fail as well.

Worldlog's Opposition fails to address UCM's argument regarding the intertwined nature of the facts and its ability to bring Shipping Act claims in the first place.⁴ The Pending Actions

⁴ The single decision relied on by Worldlog, *Greatway Logistics Group, LLC v. Ocean Network Express Pte. Ltd.*, FMC Docket No. 21-04 (July 16, 2021), is readily distinguishable from this proceeding. In that case, the Commission found that the allegations in the two proceedings were different and denied the stay request on that basis. *Id.* at p. 4 ("Although the district court litigation was filed prior to this proceeding, the allegations raised in this proceeding are different

focus on key factual questions that also underlie Worldlog's claims brought in this proceeding, such as, for example, whether any of the third parties that Worldlog alleges in this proceeding were its customers were actually UCM customers operating under UCM service contracts. That same factual question is precisely at issue in each of the Pending Actions as well.

Should this matter be allowed to proceed, Worldlog's Complaint could not be adjudicated without the risk of duplicative, possibly inconsistent findings across three forums on identical operative facts. However, a stay of this proceeding would allow for any factual findings determined in the Pending Actions to be applied consistently in this proceeding and would preserve valuable Commission resources for matters that require urgent adjudication.

UCM further notes that all three of the Pending Actions were filed before Worldlog filed this action, and two of the three Pending Actions were filed by Worldlog, all based on the exact same underlying factual predicates. Worldlog's filing of multiple actions across three different forums all based on the same underlying alleged facts appears designed, at least in part, to harass UCM. Such vexatious conduct should weigh in favor of a stay of this proceeding at least until the Pending Actions are resolved. Once those actions are resolved and the underlying facts determined, the parties can then address whether relief under the Shipping Act is required, particularly in light of Worldlog's continuing practice of absconding with cargo that does not belong to it.

VIII. CONCLUSION.

For the reasons stated above, Respondent UCM respectfully requests that the Commission dismiss the Complaint in full, with prejudice.

Alternatively, if the Complaint is not dismissed in its entirety, Respondent UCM

from the allegations raised in that case. [. . .] Thus, the Commission and the district court are adjudicating different issues.”).

respectfully requests that this proceeding be stayed pending resolution of the Federal Court Actions presently pending in the U.S. District Court for South Carolina.

Dated: July 23, 2026

Respectfully Submitted,

**EPSTEIN BECKER & GREEN,
P.C.**

By: /s/ **Charles E. Weir**
Charles E. Weir
Colin M. McGrath
1925 Century Park East, Suite 500
Los Angeles, CA, 90067
Tel: (310) 557-9506
cweir@ebglaw.com
cmcgrath@ebglaw.com
*Co-Counsel to United Cargo
Management Inc.*

MILLS BLACK LLP

By: /s/ **Peter F. Black**
Peter F. Black
1215 19th Street, NW
Washington, DC 20036
Tel: (202) 967-4100
pblack@millsblack.com
*Co-Counsel to United Cargo
Management Inc*

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

1. Office of the Secretary
Federal Maritime Commission
secretary@fmc.gov
2. Hon. Erin M. Wirth - *Administrative Law Judge*
Federal Maritime Commission
Judges@fmc.gov
3. Henry P. Gonzalez, LL.M. - *Counsel for Complainant*
Gonzalez del Valle Law
gonzalez@gdvlegal.com

Dated: July 23, 2026

By: /s/ Colin M. McGrath

Colin M. McGrath
EPSTEIN BECKER & GREEN, P.C.
1925 Century Park East, Suite 500
Los Angeles, CA, 90067
Tel: (310) 557-9514
cmcgrath@ebglaw.com

*Co-Counsel to United Cargo
Management Inc.*